



Circular 19 of 2021

2 June 2021

**Guideline for Resolution of Troubled Regulated Entities in the Pensions Industry and
Guideline for Treating Unclaimed Benefits and Suspended Pensioners.**

TO: All Pension and Provident Funds

Zimbabwe Association of Pension Funds (ZAPF)

Life Offices Association of Zimbabwe (LOA)

Insurance Brokers Association of Zimbabwe (IBAZ)

Pension Fund Administrators

In 2020, the Commission conducted offsite inspections targeting various thematic areas which included Unclaimed Benefits, Non-resident Pensioners, and Inactive funds.

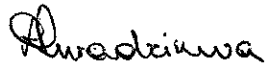
The Inspections revealed the need for the Commission to provide guidance to the industry regarding the treatment of unclaimed benefits and suspended

pensioners as well as the resolution of troubled institutions given the perpetual paid up status observed on some funds.

Thus, the Commission hereby advises of the issuance of the revised "Guideline for Resolution of Troubled Regulated Entities in the Pensions Industry" and "Guideline for Treating Unclaimed Benefits and Suspended Pensioners."

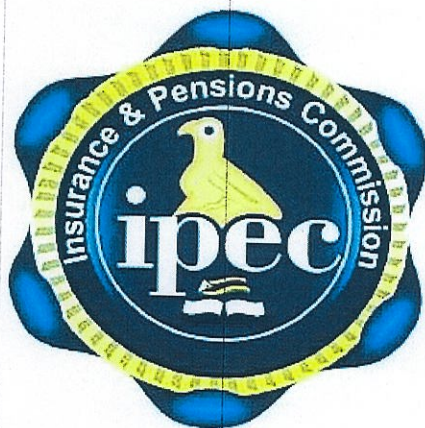
Implementation of the Guidelines is with immediate effect.

Yours sincerely



Grace Muradzikwa

Commissioner of Insurance Pension and Provident Funds



Guideline for Treating Unclaimed Benefits and Suspended Pensioners

4 June 2021

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Authorisations

This Guideline is issued in terms of section 3(1) of Statutory Instrument 69 of 2020 which empowers the Commission, whenever it considers it necessary, convenient and in the best interest of policy owners and pension and provident fund members, to issue general guidelines and standards, which may provide for the market conduct practices, to be observed by the insurance and pensions industry.

1. DEFINITION OF TERMS

"Consumers" - pension and provident fund members, and beneficiaries.

"IPEC or Commission" shall mean the Insurance and Pensions Commission, and the terms shall be used interchangeably.

"Members with Unclaimed Benefits" shall mean members of a fund who have not claimed their benefits when they became due and payable and cannot be located by the fund for a period of more than six months.

"Preservation Period" shall mean the period for which the unclaimed benefits shall remain invested in the fund, which period shall not exceed five years.

"Suspended Pensioner" shall mean a pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of existence.

"Unclaimed Benefit" shall mean a pension benefit that has become legally due for payment for which no claim has been lodged and, it has remained unpaid to the member or beneficiary for a period more than six months. The accrued benefits become unclaimed at the end of the six months period. A pension benefit is also deemed unclaimed when it remains unclaimed or unpaid to a member, former member or beneficiary for a period of six months after the fund is dissolved in terms of section 10 of the Pension and Provident Funds Act [Chapter 24:09].

2. INTRODUCTION

- 2.1 In pursuance of its statutory mandate to regulate and monitor the management and administration of funds as well as the activities within the pensions industry, the Insurance and Pensions Commission (hereunder referred to as IPEC or "Commission") conducted an offsite inspection targeting unclaimed benefits.
- 2.2 Through the inspection, the Commission observed that there was an information gap, resulting in limited awareness by fund members on the following key requirements:
- Importance of updating membership data;
 - Circumstances creating eligibility to lodge a claim;
 - Timeframes for lodging a claim; and
 - Requirement for and frequency of submitting Certificates of Existence.
- 2.3 The low level of awareness has led to the suspension of member and eventually benefits have remained unclaimed for extended periods.
- 2.4 Given the information asymmetry that may exist between the fund/ administrators and fund members regarding the information required, steps should be taken to ensure that suspended benefits are resumed, and unclaimed or suspended benefits are accessed.
- 2.5 It is critical to note that continued incidences of unclaimed benefits and suspended pensioners undermine the purpose of pensions industry, resulting in a decline in the uptake of products and services. Therefore, the Commission has developed this framework to protect the rights and interests of members of pension funds with unclaimed or suspended benefits in line with its mandate as enshrined in the Insurance and Pension Commission Act [Chapter 24:21].
- 2.6 The basis of this framework are the findings of the offsite inspection that was conducted by the Commission on benefits that have remained unclaimed for the period 2017 to 30 June 2020. The offsite inspection is hereby distributed together with this framework.

3. OBJECTIVES OF THE FRAMEWORK

3.1 This framework has been necessitated by the need to reduce the prevalence of unclaimed benefits and suspended pensions in the pensions industry.

3.2 Its primary objectives are: -

- a) To provide a framework for the treatment of unclaimed benefits and suspended benefits, which pension funds/administrators, are required to comply with throughout the lifetime of their operations. It lays out the processes and procedures that the pensions industry must follow in dealing with unclaimed benefits.
- b) To put in place a consistent and standardised approach in the treatment of unclaimed benefits across the pensions industry.
- c) To ensure that members with unclaimed benefits are not excluded in the participation of bonus declarations, pension increases, distribution of revaluation gains and interests from investments.
- d) To ensure that fund members have access to adequate information on requirements to claim pension benefits.
- e) To promote the uptake of pension products through efficient pension operating system that reduces the occurrence of unclaimed benefits; and
- f) Restore confidence in the pensions industry.

4. SCOPE AND EFFECTIVE DATE

4.1 This Framework shall be applicable to all fund administrators including Insurers, pension and provident funds that fall under the regulation of IPEC. It shall be used in conjunction with all other legislation pertaining to pension funds operating in Zimbabwe, including Circulars and other directives issued by the Commission.

4.2 This framework becomes operational with immediate effect.

4.3 The Commission reserves the right to amend this Guideline from time to time.

5. LEGISLATIVE PROVISIONS ON UNCLAIMED BENEFITS

5.1 Treatment of unclaimed benefits for active funds is regulated by section 99 of the Administration of Estates Act [Chapter 6:01], which deals with the treatment of unclaimed benefits in general. In terms of section 99, every person other than a deposit receiving institution carrying on business in Zimbabwe shall in January in each year prepare a detailed statement of all moneys amounting to one hundred dollars which were in his or her hands and remained in his and her hands for a period of five years or more and must surrender such moneys to the Master of High Court together with a statement with the owner's details.

5.2 Section 34 (2) (a) of the Pensions and Provident Funds Regulations SI 323 of 1991 provides guidance on treatment of unclaimed benefits for dissolved funds. When a fund is dissolved and if it becomes impossible, after all reasonable efforts have been made to trace a member to whom an amount is payable from the fund, that amount shall, after a specified period of not more than three years, be paid to the Guardian's Fund, Master of the High Court of Zimbabwe.

6. PRINCIPLES TO BE OBSERVED IN THE TREATMENT OF UNCLAIMED BENEFITS AND SUSPENDED PENSIONERS.

6.1 A pension benefit shall only be deemed as an unclaimed benefit if it falls within the definition provided under this Guideline.

6.2 A pensioner shall be deemed as suspended if he/she falls within the definition of a suspended pensioner contained in this guideline provided that no pension fund or pension fund administrator shall automatically

- stop paying a pension benefit as at 31 December of each year due to non-lodging of the completed life certificate by the pensioner.
- 6.3 The classification of a benefit as unclaimed, or a pensioner as suspended shall not absolve the fund/fund administrator from pursuing measures at its disposal to ensure that the member is located, and the benefit is paid to the member or beneficiary.
- 6.4 Notwithstanding the generality of the above provisions, each pension fund/ fund administrator shall, 15 days before the end of the financial year, publish a notice in a newspaper of wide circulation calling upon all pensioners to submit completed life certificates within 60 days after year-end, failure of which will result in the stoppage of payment of pension benefits by 31 March of that year. In instances where the costs of publishing the names are unsustainable, the affected fund/administrator shall explore other cost-effective ways in calling for life certificates.
- 6.5 All unclaimed benefits and benefits for suspended pensioners shall earn such bonuses, pension increases, revaluation gains and any other returns that are distributable to the members in response to movements in asset value or trends in the operating economic environment.
- 6.6 No unclaimed benefit or suspended pension shall be forfeited and/or distributed to other members of the Fund.
- 6.7 An unclaimed benefit shall remain preserved in the fund for a maximum period of five years. At the expiry of the five -year period and where the benefit remains unclaimed, the fund/administrator is directed to lodge all such benefits with the Guardian Fund under the Master of the High Court together with the schedule of names, addresses and the amount of assets per each member.
- 6.8 No registered fund shall keep unclaimed benefits in the Fund in perpetuity;

7. REPORTING UNCLAIMED/SUSPENDED BENEFITS

- 7.1 For the purposes of tracking records and all unclaimed benefits, all pension funds/ fund administrators must submit together with quarterly returns, the schedules of names, assets, addresses and national registration numbers for those members. The schedule shall show the date when the benefit was suspended/categorised as unclaimed. A separate schedule showing benefits lodged with the Guardian Fund under the Master of the High Court shall also be attached.
- 7.2 In addition, the fund/administrator shall submit a schedule on pension increases/bonus awards granted on unclaimed and suspended benefits. Separate schedules clearly marked "suspended pensioners" or "unclaimed benefits", as the case maybe, shall be submitted and shall clearly show the value of benefits before and after the pension increase or bonus award. The schedule shall be accompanied by a detailed report outlining the movement in assets supporting such liabilities and it shall state how expenses and any movements in asset value have impacted on the individual values of the members.
- 7.3 The fund/administrator shall also advise the Commission on the measures explored and/or to be explored to facilitate resumption of benefit payments.
- 7.4 Where the schedules referred to above are submitted by a fund administrator/insurer, the schedules shall clearly show the name of the fund where the benefit is preserved.

8. MEASURES TO REDUCE THE INCIDENCE OF UNCLAIMED BENEFITS AND SUSPENDED PENSIONERS.

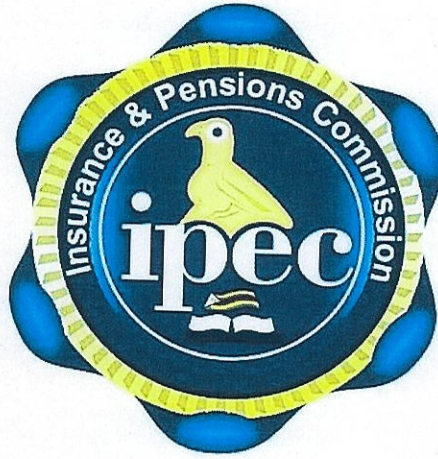
- 8.1 At inception, funds/administrators must capture all the necessary information that is required to be able to maintain communication with the member on an ongoing basis. The joining forms should capture the relevant and necessary details that will assist in tracking members. Further, there must be constant communication on the need to update records, ideally every quarter, and the information updated accordingly.
- 8.2 Pension funds/administrators must institute and put in place measures to enhance the integrity of membership data, contribution history and the fund's investment performance and record of statutory reports, among other pertinent information. Where possible, pension fund/administrators must invest in robust information technology systems. Every fund/administrator shall profile the membership and categorise the membership in different age brackets to ensure that members approaching retirement are clearly identifiable. Likewise, pensioners shall be categorised per geographical location and suitable methods of communication identified for each category.
- 8.3 Every fund/administrator shall ensure that it puts in place appropriate mechanisms for communicating with members who are approaching retirement, which measures must also take into account the need to maintain communication post retirement to ensure benefits are claimed timeously.
- 8.4 At termination, the claim forms should be detailed to capture the contact details of the beneficiaries and those of next of kin.
- 8.5 Every fund shall ensure that the benefit statements given to members of a fund states the various forms of exit that makes one eligible to claim a benefit.

- 8.6 Fund administrators/pension funds must provide their members with all the essential information relating to the procedures for claiming their benefits and all information regarding their pension rights.
- 8.7 Funds/Administrators shall explore measures to improve timely identification of members that have become eligible to receive payments. These shall include requiring the employer to furnish reasons for any reductions in the level of contributions between two consecutive periods to be satisfied that the reduction is not on account of members having left the employ of the employer and thus qualifying to lodge a claim to the fund.
- 8.8 Where a fund/administrator becomes aware that a member has left the employ of the employer, it must communicate to the member, within seven days of gaining such knowledge, as such information will ensure that the member is well informed about any benefit that has become due and payable as well as the procedures for lodging a claim.
- 8.9 At the time that a member buys an annuity or starts receiving a pension from the fund, the insurer/fund shall ensure that the member is advised of the requirement to lodge a certificate of existence, the mode and frequency for lodging such certificates. The consequences of the failure to submit the certificates shall be communicated, including available mechanisms for seeking redress in the event of encountering challenges.

9. Enforcement and Compliance

- 9.1 The Commission reserves the right to monitor and enforce compliance with this guideline through applying any of the various supervisory and regulatory tools within its purview, including levying penalties for non-compliance prescribed under section 5 of Statutory Instrument 69 of 2020.

END OF DOCUMENT



INSURANCE AND PENSIONS COMMISSION

GUIDELINE FOR RESOLUTION OF TROUBLED REGULATED ENTITIES IN THE PENSIONS INDUSTRY.

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1. Authorisation

This Guideline is issued in terms of section 3 of Statutory Instrument 69 of 2020 which empowers the Commission, whenever it considers it necessary, convenient and in the best interest of policy owners and pension and provident fund members, to issue general guidelines and standards, which may provide for the market conduct practices to be observed by the insurance and pensions industry.

2. Objectives of this Guideline

The development of this guideline has been necessitated by the need to promote a structured framework for resolving troubled institutions to ensure a response that is timely and appropriate to each given circumstance. The primary objectives are: —

- (a) To outline the key indicators which should be considered in determining whether a fund or fund administrator (herein after referred to as regulated entity or fund/fund administrator) can be classified as a troubled institution.
- (b) the processes and procedures that the pensions industry must follow, in dealing with pension or provident funds; and fund administrators that are in a troubled condition.
- (c) lay out the conditions and circumstances under which the Insurance and Pensions Commission (hereinafter referred to as IPEC or Commission) will intervene and the preventative, protective or punitive actions that IPEC can take to resolve the troubled condition of the institution.

3. Scope of Application

The Guideline applies to all pension and provident funds and fund administrators that are registered and supervised by IPEC. It shall be read with all the other legislation pertaining to pensions business in Zimbabwe, including Circulars issued by IPEC.

The guideline becomes operational with immediate effect.

4. Applicable Legislative and Regulatory Frameworks

- a. Insurance and Pensions Commission Act [Chapter 24:21].
- b. Pension and Provident Funds Act [Chapter 24:09] (referred to as Act in this Guideline .
- c. Pension and Provident Funds Regulations (Statutory Instruments).
- d. Money Laundering and Proceeds of Crime Act [Chapter 9:24].
- e. Insurance Act [Chapter 24:07].

- f. Circular 4 of 2019;
- g. Circular 10 of 2019;
- h. Risk Management and Corporate Governance Guideline for the Pensions Industry ; and
- i. Any other relevant circulars, directives or guidelines issued by IPEC.

5. Key Indicators for a Fund or Administrator to be Deemed a Troubled Institution

Key Indicators Applicable to a Fund

- 5.1. All inactive funds are in the first instance classifiable as troubled institutions.
An inactive fund is a fund in paid up status, under dissolution or a fund which has not been receiving contributions for a period of 3 or more months.
- 5.2. Deterioration of key ratios of pension funds such as solvency, asset quality, management soundness, earnings and liquidity:-
 - a. Defined benefit funding level below 75% after discounting contribution arrears that are doubtful to recover. ;
 - b. contribution arrears constituting 10% or more of the fund's assets; and
 - c. Trend of the fund expense ratios – increase in the expenses to contribution and expenses to total assets ratios;
 - d. Expenses exceeding income (contributions plus investment income);
 - e. Liquidity ratio of the fund is worsening, for example current ratio, of less than 1.5.
- 5.3. Funds with sponsoring/participating employers who have not been remitting contributions to the pension funds within the fourteen days prescribed in the Pension and Provident Funds Regulations S.I 323 of 1991 and those which have already accrued contribution arrears for a period of three months or more.
- 5.4. Increasing unclaimed benefits in absolute terms and as a percentage of total assets.
- 5.5. Absence of a properly constituted board of trustees or directors.

5.6. Large or increasing volume of complaints to the extent that such complaints point to the soundness of the entity or its compliance with the legal framework.

5.7. Penalties for non-compliance have been imposed by IPEC or any other regulatory board for two or more consecutive periods.

Key Indicators Applicable to Fund Administrators.

5.8. Failure to comply with the capital requirements stated in the Pension and Provident Funds Regulations S.I 323 of 1991 as amended from time to time.

5.9. Continued failure to meet regulatory requirements, for example, late submission of quarterly returns.

Absence of a Functional Board,

5.10. Irregular Board meetings and absence of minutes of meetings

5.11. Absence of or inadequate internal control systems including systems for storing and managing data.

5.12. Huge transfer out of the fund/sponsoring employers joining other funds;

5.13. Large or increasing volume of complaints which point to the soundness of the entity or its compliance with the legal framework.

6. Guiding Documents for Determining the Condition of a Regulated Entity.

a. Actuarial Valuation Reports

b. Quarterly, Annual or any other returns prepared by the regulated entity for submission to IPEC or other regulatory authorities.

c. Onsite inspection or investigation report

d. Audited financial statements

e. Any document or information concerning the regulated entity which is in the possession of the fund/administrator.

Applicable Supervisory Responses

6.1. The Commission reserves the right to determine the appropriate supervisory measures to be applied in addressing the troubled state of the regulated entity. Supervisory responses will be designed primarily to address the observed condition or practices, that have caused the troubled status.

The factors to be considered in determining the appropriate supervisory response will include the following:-

- a. History of compliance with legal requirements, regulatory frameworks and corrective orders.
- b. Risk exposure or profile of the entity.
- c. Attitude of the Board and Management.
- d. Prospects of restoring the entity into a sound condition.

6.2. The supervisory actions that may be taken include the following:-

- a. Enhance reporting requirements applying to the entity.
- b. Increased monitoring/surveillance over the entity.
- c. Imposing restrictions on the activities of the fund/administrator.
Imposing civil penalties on defaulting entities and sponsoring employer in terms of section 56A of the Pension and Provident Funds Regulations.
- d. Conducting an onsite inspection of the fund/fund administrator in terms of section 4 of the Insurance and Pensions Commission Act.
- e. Conducting investigation in terms of section 21 of the Act, if the findings of an inspection warrant such action;
- f. Require a registered fund, in terms of section 22 of the Act, to lodge with the Commissioner all or any of its securities.
- g. Disqualify the Board and/or Management of the fund/administrator.
- h. Direct the dissolution of the fund in terms of section 19(3) of the Act.
- i. Cancel the certificate of registration of the fund administrator.

7. Self-Assessment by Regulated Entity and Procedure to be followed

Role of Board....

- 7.1. The Board of Trustees of the fund or the Board of Directors of the fund administrator (hereinafter collectively referred to as the board) is ultimately responsible for ensuring the soundness of the entity.
- 7.2. The Board of the fund/fund administrator shall be responsible for the following:
- a. Putting in place systems, including clearly documented policies, that ensure systematic and continued monitoring and evaluation of the status of the fund/administrator as a way of ensuring timely identification of the existence of one or more of the key indicators highlighted above.
 - b. Ensuring that employees and service providers to the Fund have an appreciation on how to apply the indicators stated herein and appropriate channels for communication are available for effective and continuous flow of information within the regulated entity and with the Commission.
 - c. Calling for documents or other information relating to the fund/fund administrator to ensure that the Board is up to date with the condition of the fund/administrator.
 - d. Analysing the documents and information pertaining to the fund/administrator to be able to evaluate the status of the entity and/or to get a better understanding of the problem.
- 7.3. The fund/administrator shall assess itself against the indicators stated herein. The assessment shall be conducted at such intervals as the Board considers fit although at least once in any financial year.
- 7.4. Within three months after the end of each financial year, every fund/administrator shall submit a declaration on its condition within that financial year. The declaration shall be informed by the self-assessment against the indicators stated herein.

- 7.5. Notwithstanding the generality of part 7.4, if the assessment shows that the fund/administrator falls within one of the indicators that cause it to be considered as a troubled institution, the fund/administrator shall communicate the result to IPEC within 7 days from the date on which the fund/fund administrator becomes aware that they fall for classification within this category.
- 7.6. In cases where the financial soundness is impaired by the existence of contribution arrears, the communication shall include full details on the level and period of accrual of the contribution arrears and the interest charged or chargeable.
- 7.7. The fund/fund administrator shall request the sponsoring employer to submit a payment plan within thirty (30) days of request and monitor compliance. The payment plan shall be submitted to IPEC. In addition, periodic reports on the compliance of the employer with the payment plan should be submitted to IPEC at agreed intervals.
- 7.8. The communication in 7.6 above should include a statement clearly indicating the time frame within which the regulated entity would have come up with a proposed plan for restoring the fund or fund administrator into a sound condition. The time frame for communicating the proposed plan should not exceed 30 days from the date of the communication unless a longer period is specifically provided in this guideline or is approved by the Commission.
- 7.9. The board shall ensure that the fund/administrator obtains the approval of the Commission prior to implementing the proposed action plan to the Commission for consideration and approval.
- 7.10. The fund/administrator shall report to the Commission on the progress and adherence to the proposed plan at intervals informed by the terms of the approved plan and/or the Commission's directive.

8. Submission of Schemes for Restoring Entity to a Sound financial condition.

This part applies to entity which is in an unsound financial condition owing to the presence of one or all the indicators stated in Section 5 above that affect the financial condition of the entity.

8.1. The scheme should specify the time within which it is proposed to restore the fund to a sound financial condition.

8.2. The scheme should be accompanied by a report from the Actuary or valuator of the fund/administrator.

8.3. After assessing adequacy of the scheme, the Commissioner can:-

- a. approve the scheme with or without conditions;
- b. Reject the scheme and request fund/administrator to submit a new scheme;
- c. Direct that the fund be dissolved if the Commissioner considers that it is not practicable to bring the fund into a sound financial condition within a reasonable time. In this case, section 10 of the Act and Circular 10 of 2019 on dissolution shall apply.
- d. Direct the board of the funds under administration to transfer administration of the fund to another fund administrator, in which case the provisions of Circular 4 of 2019 will be applicable.
- e. Cancel the registration of the Fund Administrator, if the Commissioner considers that it is not practicable for the fund administrator to meet the capital requirements within a reasonable time.

9. Entities Administered Without a Properly Constituted Board of Trustees/Directors or Board that is not Fit and Proper.

9.1. It is the duty of the Principal Officer of the regulated entity to communicate the fit and probity requirements prescribed through the Regulations and other supervisory frameworks. Where a fund is administered by a fund administrator/insurer, the Principal Officer of the administrator/insurer shall assume this role.

9.2. The Principal Officer shall communicate the following matters to the Commission as soon as they occur:

- a. Resignation of a Board member.
 - b. Incapacitation of a Board member resulting in the Board not being fully constituted. This may include failure by the Board member to attend three consecutive meetings.
 - c. Board dysfunctionality emanating from the absence of a legitimate quorum.
- 9.3. The principal officer shall attach all relevant documents that will enable the Commission to independently assess the fitness and probity of the person.
- 9.4. In terms of section 6B of the Pensions Regulations, the Commission has the right to disqualify any board member/s that are considered not fit and proper.
- 9.5. The Commission can disqualify directors that are considered not fit and proper.
- 9.6. Where a trustee or director is disqualified the principal officer shall, within three months from the date of the disqualification, ensure that the regulated entity puts in place a properly constituted board.
- 9.7. If it is impracticable to reconstitute a board of trustees, the principal officer shall communicate the impracticability to the Commission.

10. Entity on which Penalties for non-compliance have been imposed other regulatory or statutory bodies body for two or more consecutive periods.

- 10.1. Every regulated entity shall ensure that it complies with all legislative and regulatory provisions that apply to any part of its business.
- 10.2. Where two or more consecutive penalties are imposed upon the regulated entity other regulatory authorities, the entity shall forthwith disclose to IPEC information on the incidence and level of the penalties imposed.
- 10.3. In addition, the regulated entity shall provide detailed information on the measures that have been put in place to rectify the non-compliance and to ensure compliance on an ongoing basis.

10.4. Periodical updates to illustrate the compliance should be submitted to the Commission once every quarterly.

10.5. The Commission will, based on the information provided by the fund and any other relevant information determine the extent to which the non-compliance impacts on the fit and probity of the regulated entity and the people responsible for the administration of the entity.

10.6. If the non-compliance is not of an extent as to render the officers of the fund or fund administrator; or the administrator itself not fit and proper, the Commission will take any of the following actions:—

- a. in the case of members of the board, disqualify such members;
- b. in the case of a fund administrator, cancel the registration of the administrator; and/or
- c. notify the Financial Intelligence Unit in the case of compliance issues related to money laundering.

11. Additional Action that may be taken by Regulated Entity after becoming aware of its own Troubled State

11.1. Notwithstanding the general guidance on the contents of the scheme for restoring the soundness of an entity, the fund may institute the following as corrective measures:-

- a. apply for dissolution, in which case the provisions of Circular 10 of 2019 will guide the process to be followed in the dissolution; or
- b. apply to transfer its assets and liabilities to another fund, in which case section 27 of the Pension and Provident Funds Act and Circular 4 of 2019 will apply.

11.2. In either case, the applications must include—

- a. board resolution; and
- b. reasons for the proposed action, illustrating why such action is in the best interests of the members of the fund.

11.3. The fund administrator may: -

- a. apply for cancellation of certificate of registration;

- b. notify the Commission where it intends to transfer business to another administrator. The fund administrator shall not transfer the business until the Commission, through written communication, notifies the fund that it does not object to such a move.
- c. In transferring the business, the administrator shall ensure that Circular 4 of 2019 is adhered to.

12. Review of this Guideline

The Commission reserves the right to cancel, amend or replace this guideline as and when there are developments that warrant such action. The action taken by IPEC shall be to ensure that the guidance provided herein is in line with legal and regulatory frameworks governing the pensions industry in Zimbabwe and international best practice.

13. Enforcement and Compliance

- 13.1. The Commission reserves the right to monitor and enforce compliance with this guideline through applying any of the various supervisory and regulatory tools within its purview, including levying penalties for non-compliance prescribed under section 5 of Statutory Instrument 69 of 2020.

END OF DOCUMENT